

NETTING BIG GAINS

An electronic procurement system has not only brought efficiency and transparency but also helped the state government save Rs 2,700 crore in the process

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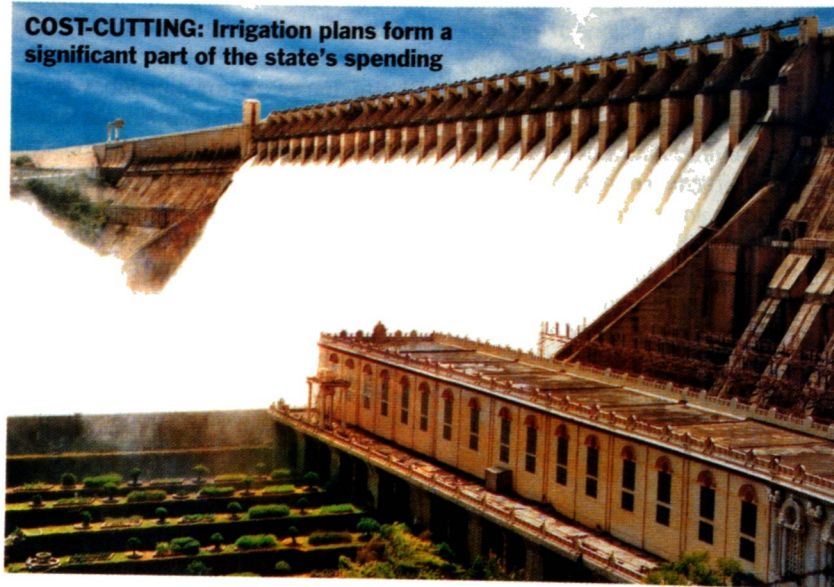
Chief Engineer K. Suresh Kumar of the Andhra Pradesh Public Health Engineering Department sits relaxed in his Hyderabad office even though he has to vet some 30 contracts worth Rs 900 crore of the

Jawaharlal Nehru National Urban Renewal Mission in the next few weeks. The reason: he no longer has to sell sets of the bulky documents of each contract to prospective bidders, some of whom earlier used to gang up outside his office to manipulate the bids. But now, bidders have to stake their claims online through the electronic tendering system that makes processing as well as awarding of the contracts simpler.

This web-based procurement process enables enterprises and government departments to manage their purchases online—from requisition to payment. It reduces the time and cost of doing business for both vendors and the government; prevents formation of cartels; standardises the procurement process across government departments and agencies; increases buying power through demand aggregation; provides a one-stop shop for all procurements; allows equal opportunity to all vendors and, thus reduces corruption. Around 150 government departments and 22,000 vendors and suppliers have used the platform so far.

The process includes three components: information and registration, e-purchasing and e-tendering. It creates specialised networks of supplies on the Internet where one can place requests for proposals, post tender documents, exchange specifications, receive bids and approve quotations. It enables organisations to automate their purchases and reduce processing costs.

The state spends in excess of Rs 18,000 crore a year on government procurements. Within four months of the launch, e-procurement transactions have crossed Rs 40,000-crore mark to make it the largest procurement portal in India. It has resulted in savings of more than Rs 2,700 crore as lead time for the tendering process has shortened from 120 to 36 days, says e-procurement Project Manager K. Bikshapathi. And the biggest of all is the savings of Rs 1,800 crore in the Rs 30,000-crore Jalayagnam programme under the irrigation and com-



COST-CUTTING: Irrigation plans form a significant part of the state's spending

E-procurement resulted in savings of Rs 1,800 crore in the Rs 30,000-crore investment in the irrigation sector.

OLD SYSTEM

DISCREPANCY: In the earlier bidding process, there was discrimination in the issue of tender schedules.

SECURITY ISSUES: Many bidders faced physical threats from competitors.

CARTEL FORMATION: Contractor cartels invariably formed in the earlier system, which suppressed competition.

POLITICS: Officials of different departments faced political pressure.

SLOW PROCESS: There used to be inordinate delays in tender finalisation.

LACK OF TRANSPARENCY: The human interface led to manipulations. Small traders were adversely affected.

E-ADVANTAGES

BOOSTS COMPETITION: Total anonymity generates more competition.

DISCOUNTED QUOTATIONS: Even single-bid tenders quoted low.

INCREASE IN SAVINGS: The discounted quotations result in cost savings.

FASTER PROCESSING: Tender lead time shortened from 120 days to 36 days.

EFFICIENCY AND TRANSPARENCY: Online access to information on procurement ensures efficiency and transparency.

NO ADVERTISING COST: Savings in print media advertisement costs.

EMPOWERMENT: Smaller traders are empowered against bigger ones.